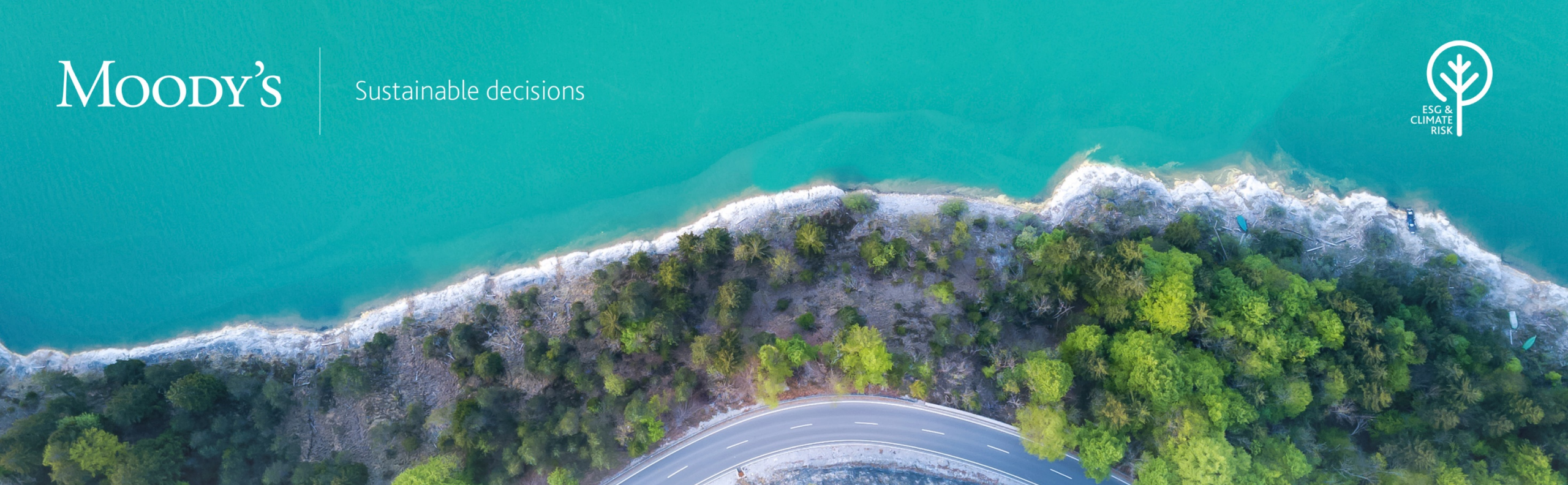


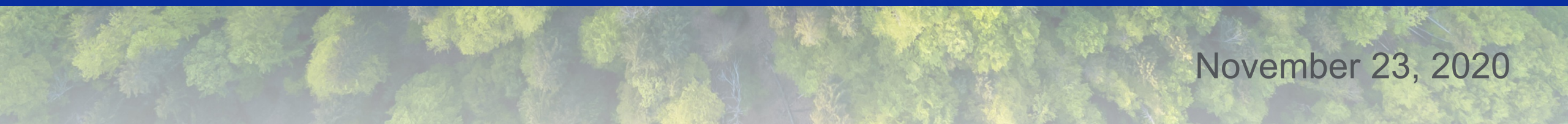


MOODY'S

Sustainable decisions



Moody's ESG Solutions



November 23, 2020

Agenda

1. ESG Market Size & Demand
2. Moody's ESG Strategy

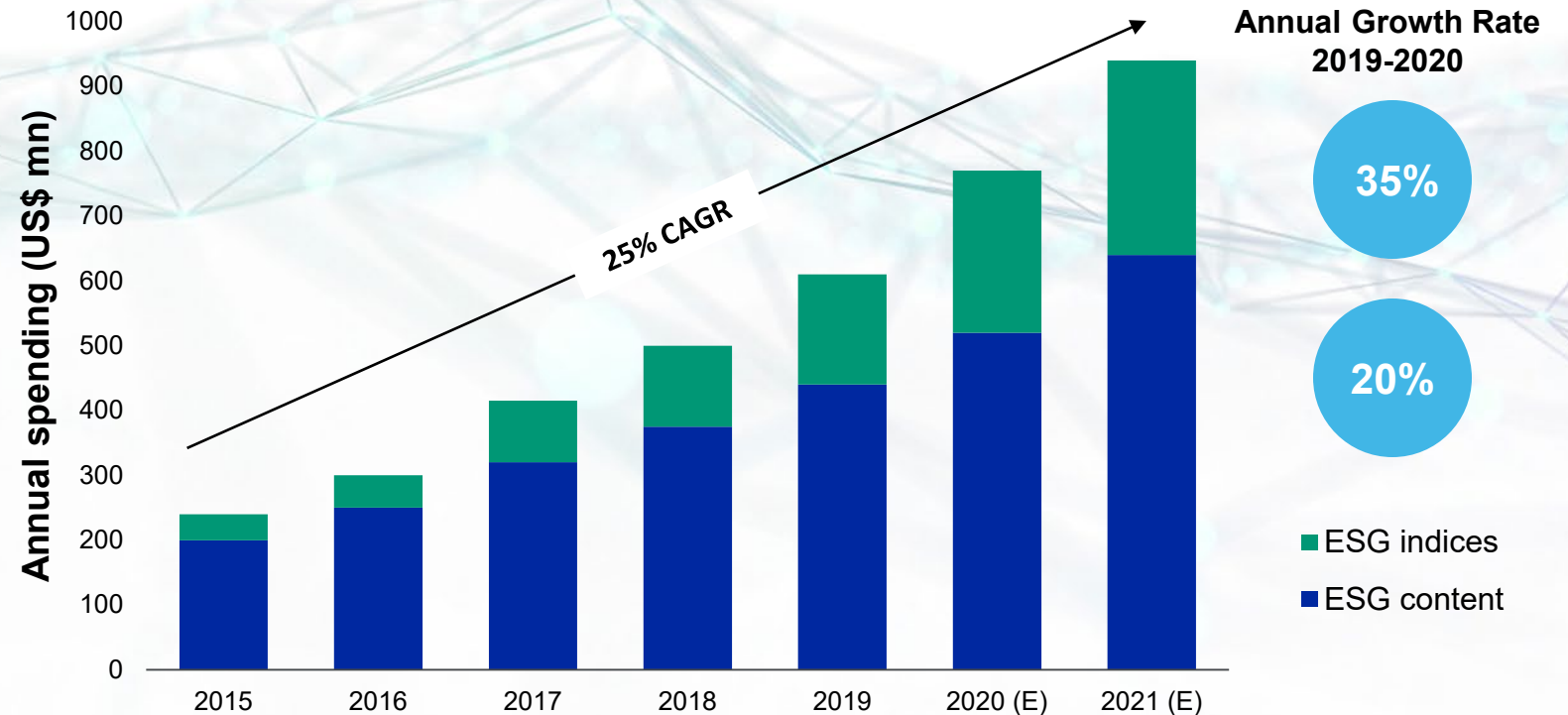
1

Market Size & Demand

Market & growth for ESG data/metrics

Spend is growing rapidly, particularly on ESG indices

- » ESG Data market estimate for 2021 ~\$1bn
 - Current spend 60% Europe; 60% Asset Managers
- » +125 companies providing ESG Measures
 - Room for 3-4 high quality players (McKinsey)



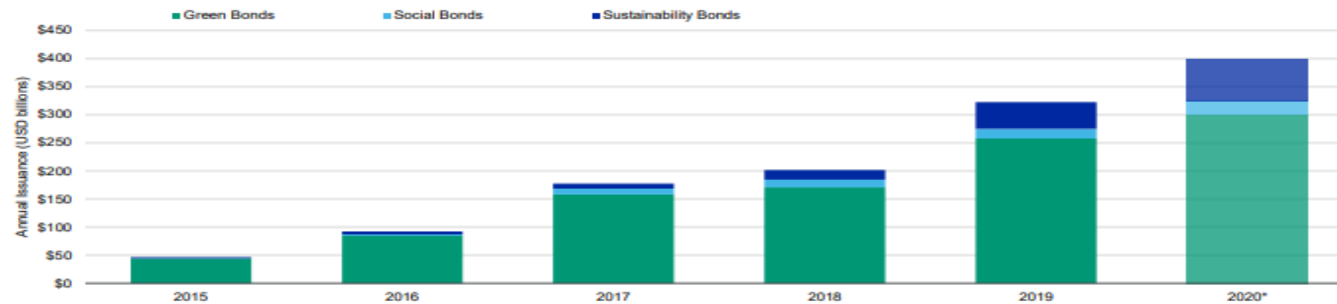
Source: McKinsey

Sources: Opimas Market Survey – Mar 2020, McKinsey 'Opportunities in ESG' – Mar. 2020

Sustainability bond trends

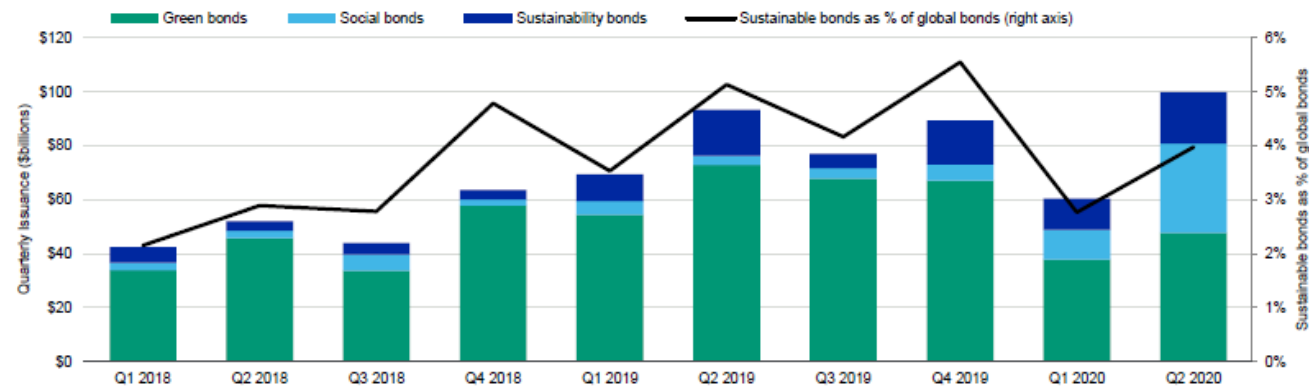
- Sustained growth and diversification in the green, social and sustainability bond markets.
- ESG risks will come into greater focus, supporting growth in sustainable bonds.
- New and updated best practice documents will advance growth and standardization of sustainable finance markets.

Exhibit 1
Combined global issuance of green, social and sustainability bonds will reach \$400 billion in 2020



*2020 figures reflect Moody's projections
Sources: Moody's Investors Service, Climate Bonds Initiative, Dealogic

Exhibit 1
Record sustainable bond volumes in second quarter 2020 as pandemic fuels social bond surge



Sources: Climate Bonds Initiative, Dealogic and Moody's Investors Service

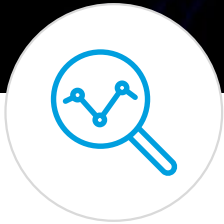


2

Moody's ESG Strategy

We play an important role in this world

MOODY'S | Better decisions



Purpose

WHY WE EXIST

To bring **clarity, knowledge and fairness** to an interconnected world



Mission

WHAT WE DO

To provide **trusted insights and standards** that help decision makers act with confidence



Vision

OUR ASPIRATION

To promote progress through **better decisions**

We play an important role in this world, and the world expects more

MOODY'S | Better decisions



Purpose

WHY WE EXIST

To bring **clarity, knowledge and fairness** to an interconnected world

ESG domain
Expanded Expertise
Broad definition of fair



Mission

WHAT WE DO

To provide **trusted insights and standards** that help decision makers act with confidence

Extra-financial measures
Transparency & Integrity
Thoughtful opinions



Vision

OUR ASPIRATION

To promote progress through **better decisions**

Multi-stakeholder
Sustainable
Resilience

Moody's ESG solutions

ESG domain expertise combined
with world class credit ratings,
research and risk management
solutions



Moody's ESG Solutions

Helping the market make sustainable decisions



Leading the change the market needs

- » Apply deep domain expertise to standardize ESG performance measures
- » Maintain trusted datasets essential for decision support
- » Derive insight from extra-financial information with transparent methodologies



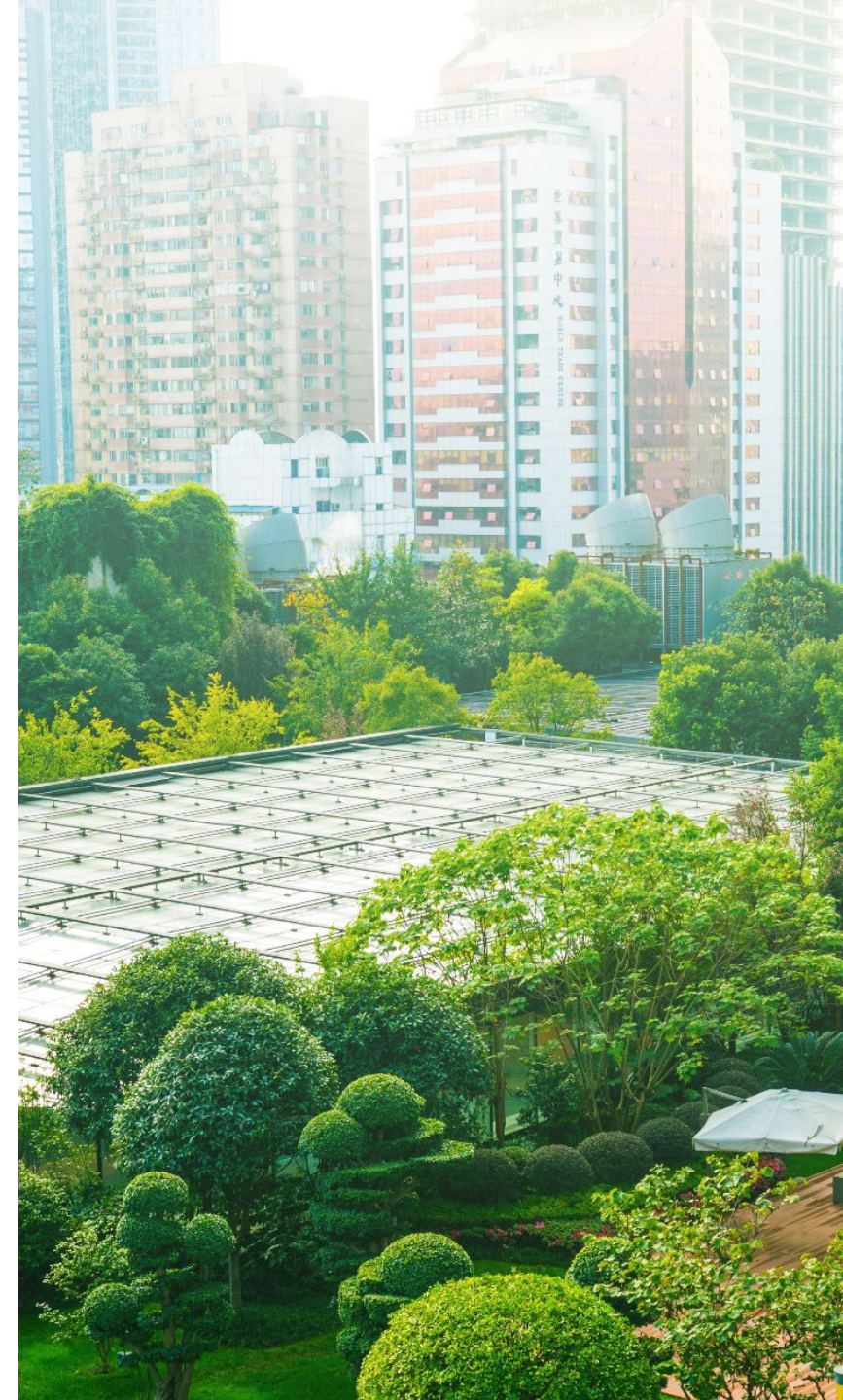
Advance strategic resilience of customers & the markets

- » Support companies to adapt in a changing world
- » Use analytical rigor to bring clarity to complex problems
- » Work in partnership to address new challenges



Make progress easy

- » Harness multi-disciplinary expertise to solve problems
- » Integrate emergent risks into world class solutions
- » Focus on customers, robust capabilities and agility



Invest to serve core segments

Customers want Moody's support to respond to the rapidly shifting landscape



Companies and organizations

- » Prosper & Grow
- » Strategic Resilience
- » Stakeholder Relations
- » Extra-Financial Reporting
- » Operational Resilience



Banks, intermediaries, insurers & governments

- » Prosper & Grow
- » Strategic Resilience
- » Understand and price extra-financial risk
- » Capital / solvency Management
- » Regulatory Reporting
- » Operational Resilience



Asset owners & managers

- » Prosper & Grow
- » Strategic Resilience
- » Understand and price extra-financial risk
- » Perform fiduciary duties
- » Diversify investments

Moody's ESG Solution Suite

Information and insights to understand ESG and Climate risks and opportunities



ESG & Climate Measures

- » Data/Scores/Peer comparisons
- » Assessments & Research
- » On-Demand Scoring
- » Controversy Monitoring & Alerts
- » Screening
- » Portfolio Review



Risk Management Solutions

- » Modelled Scores & Peer Comparisons
- » Economic Scenarios
- » ICAAP & Stress Testing
- » Loan Origination
- » KYC, KYS & Regulatory Reporting



Sustainable Finance & Peer Comparisons

- » Sustainability Ratings
- » Second Party Opinions
 - Sustainability Bonds/Loans
 - Sustainability Linked Bonds/Loans
- » ESG Indices



ESG and Credit

- » Credit Ratings & Research
- » ESG & Climate Classifications
- » Sector Heatmaps
- » Issuer Assessments (ie. CTA, CGA)



Data



Frameworks



Analytics



Engagement



Expert Opinion



Distribution

Moody's ESG Solution Suite



ESG & Climate Measures: Identify material factors affecting performance, mitigate risk and measure impact

- » ESG scores on 5,000+ companies with 270+ data points
- » Controversy screening on ~8,000 companies
- » Normative standard assessments
- » On-demand scoring application proving physical climate risk scores
- » ESG portfolio evaluation



Risk Management Solutions: Quantify the impact of ESG and Climate measures on the economic, company and security-level credit, cash flows and asset valuations

- » Integration of climate risk scores into Reis CRE platform
- » Climate stress testing solution for banks
- » Climate change economic scenarios
- » Customized ESG assessments for SME's and Mid-caps



Sustainable Finance & Peer Comparisons: Build resilience and communicate sustainability credentials

- » Sustainability Ratings, Second Party Opinions on labelled and linked bond and loan issuance
- » Existing partnership with 10+ index providers (e.g. Euronext, Solactive)
- » 70+ thematic ESG indices using VE data
- » Customized benchmark solutions for asset managers and investment banks



ESG and Credit: Understand which ESG measures are material to credit worthiness

- » ESG and climate content integration into Moody's CreditView
- » MIS ESG issuer profiles and ESG Credit Impact Scores
- » Frameworks and classifications

Driving global standards in ESG

Moody's is committed to providing trusted insights and integrated analytics leveraging our deep domain and risk expertise



Deep ESG domain expertise,
powered by:



Four Twenty Seven
AN AFFILIATE OF MOODY'S

30+

Years of ESG Experience

Our affiliate Vigeo Eiris has been a pioneer in ESG analysis since the 1990s



260+ Global

Sustainable bonds and loans

Green, Social, Sustainability Bonds and Sustainability-linked loans and bonds



Credit Ratings

ESG considerations integrated into credit ratings

Each rating committee memo includes a dedicated ESG section



5,000+

ESG assessments

Covering 273 unique ESG data points, 7900+ Companies monitoring & alerts



6,000+

Climate Risk Scores

Spanning countries, counties, cities, companies & real estate assets globally



Risk Management

Identification and quantification of ESG and Climate factors

Integration into our core risk management and analytic solutions



Glossary of Terms and Abbreviations



TERM	DEFINITION
ESG	Environment, social and governance
VE	Vigeo Eiris
ICAAP	Internal capital adequacy assessment process
KYC	Know your customer
KYS	Know your supplier
CTA	Carbon transmission assessments
CGA	Corporate governance assessment
CRE	Commercial real estate
SME	Small and medium enterprises

MOODY'S

Sustainable decisions



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